

SENATE BILL 2575

By Harshbarger

AN ACT to amend Tennessee Code Annotated, Title 56,
relative to medicare supplement policies.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 56-7-1501, is amended by adding the following as a new, appropriately designated subdivision:

() "Non-age eligible person" means a person who is:

(A) Under sixty-five (65) years of age; and

(B) Eligible for medicare by reason of disability or end stage renal disease;

SECTION 2. Tennessee Code Annotated, Section 56-7-1503(b), is amended by deleting "Notwithstanding any other law to the contrary" and substituting "Except as provided in subdivision (h)(3)(C)".

SECTION 3. Tennessee Code Annotated, Section 56-7-1503(g)(1)(A), is amended by deleting the subdivision and substituting:

(A) Insurers offering medicare supplement policies and certificates in this state to persons sixty-five (65) years of age or older shall also offer medicare supplement policies to a non-age eligible person who is enrolled in medicare. Except as otherwise provided in this section, all benefits, protections, policies, and procedures that apply to persons sixty-five (65) years of age or older also apply to a non-age eligible person who is enrolled in medicare.

SECTION 4. Tennessee Code Annotated, Section 56-7-1503(g)(1)(B), is amended by deleting "Individuals who are under sixty-five (65) years of age and eligible for medicare by

reason of disability or end stage renal disease" and substituting "Except as provided in subsection (h), a non-age eligible person".

SECTION 5. Tennessee Code Annotated, Section 56-7-1503(g)(1)(C), is amended by deleting the subdivision and substituting:

(C) Insurers shall utilize the weighted average aged premium rate, as described in subsection (i), for medicare supplement policies and certificates issued to non-age eligible persons pursuant to this section.

SECTION 6. Tennessee Code Annotated, Section 56-7-1503, is amended by adding the following as new subsections:

(h)

(1) Except as provided in subdivision (h)(3)(A), an insurer shall not deny, condition the issuance or effectiveness of, or discriminate in the pricing of a medicare supplement policy available for sale in this state because of the health status, claims experience, receipt of health care, or medical condition of an applicant if the applicant:

(A) Submits an application for the policy prior to or during the six-month period beginning on the first day of the first month in which the applicant is both:

(i) Sixty-five (65) years of age or older; and

(ii) Timely enrolled for benefits under medicare part B without penalty under federal law;

(B) Is a non-age eligible person and:

(i) Submits an application for the policy prior to or during the six-month period beginning on the first day of the first month in

which the non-age eligible person is enrolled for benefits under medicare part B;

(ii) Has enrolled for benefits under medicare part B prior to January 1, 2027; and

(a) The applicant submits an application for the policy during the six-month period beginning on January 1, 2027; or

(b) If an application is not available for the applicant to submit under subdivision (h)(1)(B)(ii)(a) on or before January 1, 2027, the applicant makes a request for an application for the policy during the six-month period beginning on January 1, 2027; or

(C) Satisfies all of the following requirements:

(i) At the time the application is submitted, the applicant is insured under a medicare supplement policy; and

(ii) The applicant submits the application for the policy:

(a) To an insurer that is different than the insurer that issued the applicant's current medicare supplement policy;

(b) Within sixty (60) days of the applicant's birthday and

(c) The applicant seeks to maintain the same medicare supplement plan.

(2) Any medicare supplement policy available for sale in this state must be made available to a non-age eligible applicant who satisfies the requirements in subdivision (h)(1)(B).

(3)

(A) A non-age eligible person shall not be charged more than the weighted average aged premium rate, as described in subsection (i), for the policy.

(B) An insurer shall:

(i) Not charge a non-age eligible person more than the weighted average aged premium rate, as described in subsection (i), for the policy; and

(ii) Provide proof of compliance with subdivision (h)(3)(B)(i).

(C) The policy for the non-age eligible person shall not contain any waiting period or preexisting condition limitation or exclusion.

(i) The weighted average aged premium rate shall be calculated as follows:

(1) Multiply the premium rate for each age band, sixty-five (65) years of age and over, by the number of individuals in this state insured in-force in that age band to arrive at the total premium for each age band sixty-five (65) years of age and over;

(2) Calculate the sum of the premium for all age bands sixty-five (65) years of age and over to arrive at the total premium for all age bands sixty-five (65) years of age and over;

(3) Calculate the sum of the insureds in-force for all age bands sixty-five (65) years of age and over to arrive at the total number of insureds in-force for all age bands sixty-five (65) years of age and over; and

(4) Divide the total determined under subdivision (i)(2) by the total determined under subdivision (i)(3).

(j) The commissioner shall promulgate rules to determine the age-bands utilized to calculate the weighted average aged premium rate, as described in subsection (i).

SECTION 7. Tennessee Code Annotated, Section 56-7-1503(g)(2), is amended by deleting the subdivision.

SECTION 8. This act takes effect January 1, 2027, the public welfare requiring it, and applies to policies, plans, and contracts entered into, renewed, amended, or modified on or after that date.